

lowers the bar for how much you have to save to support three to six months of spending, while simultaneously freeing up the money to save. If you can save 50 percent of your income, you will have a full year of living expenses after only one year of saving. You can fully fund an emergency fund of three to six months of living expenses within three to six months.

Quickly funding an emergency fund gives you the peace of mind that you have some cushion if something bad happens, such as an injury or your car breaking down. It also allows you to quickly start directing future savings to investments, allowing your money to start working for you.

3) Hitting Six Figures

The third milestone is achieving a six-figure investment portfolio. Up to this point, you won't have had enough assets for investment returns to make a big difference on your wealth building, so you have to work hard to earn and save your way to this milestone. You should celebrate the fact that now that you've accumulated substantial wealth, it will be easier to see your money working for you, even though you still have to work for money.